cryptoassets gain more publicity and acceptance, rest assured that government regulators and tax collectors will take more and more notice.

All cryptoassets have a value, and when bought or sold, can create a gain or loss for the innovative investor. It should come as no surprise that the Internal Revenue Service (IRS) of the United States has made clear its desire to get a cut of this digital pie. In 2014, the IRS decided it understood bitcoin and issued guidance on its tax treatment with IRS Notice 2014-21. Without detailing the fine print of the ruling,[27] the basic message was that although bitcoin may be called a virtual currency, for tax purposes the IRS would treat it as property. For example, stocks, bonds, and real estate are also considered property. The guidance stated, "General tax principles that apply to property transactions apply to transactions using virtual currency."[28]

Therefore, an investor, or even a casual user of bitcoin, must treat it for tax purposes the same way they would stocks, bonds, and real estate. A capital gain in any of these assets would warrant a taxable event. Accordingly, capital losses could be utilized as well. The bottom line with bitcoin, either for transactions or investing, is that the purchase and sale prices need to be tracked. The difference will be capital gains or losses, with appropriate tax treatment based on long- or short-term holds. The regulation also addresses income paid in bitcoin and even the mining of bitcoin, which are treated as immediate income at the market value of bitcoin at the time of possession.